

Bizlink Holding (3665 TT)

 Target price: **TWD3,065.00** (from TWD3,053.00)

 Share price (21 Aug): **TWD2,275.00** | Up/downside: **+34.7%**

5 4 3 2 1


Buy
 (unchanged)

2Q26 results: better than expected

- 2Q26 net profit slightly beat our and the Bloomberg consensus by 3-5%
- Benefitting from spec upgrade on its copper, power and optic solutions
- Reaffirming our Buy (1) call; raising 12M TP to TWD3,065

Helen Chien

(886) 2 8758 6254

helen.chien@daiwacm-cathay.com.tw

Neil Teng, CFA

(886) 2 8758 6256

neil.teng@daiwacm-cathay.com.tw



What's new: After market hours, Bizlink released its 2Q26 results and held an investor call today (21 August). Its gross margin in 2Q26 improved QoQ to 30.8% from 28.8% due to ongoing product mix optimisation and rising capacity utilisation. We believe Bizlink will be one of the key beneficiaries from AI infrastructure (for HPC and semi cap), and rising product complexity should underpin its margin expansion in the following years. We reaffirm our Buy (1) call. We now forecast an earnings CAGR of 48.2% from 45.6% previously over 2026-28E.

What's the impact: 2Q26 results beat slightly. Bizlink's 2Q26 revenue of TWD23,281m (+11.6% QoQ, +37.5% YoY) was in line with our estimate and the consensus estimate. Its gross margin was 30.7% (vs. 28.8% in 1Q26 and 31.1% in 2Q25), higher than our estimate (30.2%) but in line with the consensus estimate (30.7%). The recovery in gross margin vs. 1Q26 is due to product mix improvement and a higher utilisation rate. Its operating profit of TWD4,010m (+29.0% QoQ, +39.9% YoY) slightly beat our and the consensus estimates by 2.5% and 1.1%, respectively. Thus, its operating margin of 17.2% (vs. 14.9% in 1Q26 and 16.9% in 2Q25) was roughly in line with our estimate (17.0%) and the consensus (17.3%). Overall, its 2Q26 net profit of TWD2,982m (+31.1% QoQ, +47.3% YoY) also slightly beat our and the Bloomberg estimates by 4.8% and 2.9%, respectively. Its 2Q26 basic EPS finished at TWD15.28.

Key highlights from results call. During the call, Bizlink mentioned that its copper, power and optical solutions should lead it to win more layers of increasingly integrated AI infrastructure, and the product complexity (higher power density, bandwidth and integration requirement) trend is also positive for its gross margin expansion. The acquisition of Interplex Datacom (see [memo](#)) is expected to close in 2H26 and should strengthen Bizlink's capabilities in precision metal fabrication and mechanical and structural components, as well as electrical and connectivity capabilities. We raised our 2026-28E EPS by 1-5%, mainly on our more aggressive revenue assumptions on its order share win potential.

What we recommend: We reiterate our Buy (1) call and raise our 12M TP to TWD3,065 (from TWD3,053), based on an unchanged PER of 30x (equal to a 0.62x PEG over 2026-28E; at the high-end of its past-3-year range of 6-34x) applied to our 1-year forward diluted EPS forecast. Key downside risks: weaker-than-expected orders from secular growth drivers (HPC and semi cap) and slower-than-expected gross-margin expansion.

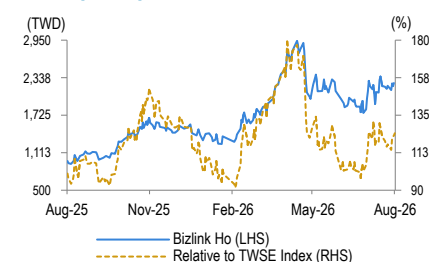
How we differ: Our 2026-28E EPS are 1-5% above the consensus, as our more aggressive revenue and operating margin assumptions.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	1.4	3.9	4.5
Net profit change	0.5	3.6	4.0
Core EPS (FD) change	1.2	4.2	4.7

Source: Daiwa forecasts

Share price performance



12-month range	929.00-2,940.00
Market cap (USDbn)	13.88
3m avg daily turnover (USDm)	201.53
Shares outstanding (m)	195
Major shareholder	Chairman and family (22.0%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	98,299	131,652	165,098
Operating profit (m)	18,203	29,600	39,588
Net profit (m)	13,607	22,419	29,873
Core EPS (fully-diluted)	69.466	114.451	152.506
EPS change (%)	49.9	64.8	33.2
Daiwa vs Cons. EPS (%)	4.8	0.3	1.4
PER (x)	32.7	19.9	14.9
Dividend yield (%)	1.5	2.5	3.4
DPS	34.9	57.4	76.5
PBR (x)	7.7	6.0	4.7
EV/EBITDA (x)	22.0	13.6	10.3
ROE (%)	26.0	33.9	35.5

Source: FactSet, Daiwa forecasts

Bizlink: revisions to revenue and earnings forecasts

(TWDm)	2026E			2027E			2028E		
	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	98,299	96,959	1.4%	131,652	126,692	3.9%	165,098	158,046	4.5%
Gross profit	30,700	30,676	0.1%	43,850	43,089	1.8%	56,286	55,719	1.0%
Gross profit margin	31.2%	31.6%	-0.4pp	33.3%	34.0%	-0.7pp	34.1%	35.3%	-1.2pp
Operating profit	18,203	18,358	-0.8%	29,600	28,785	2.8%	39,588	38,261	3.5%
Operating profit margin	18.5%	18.9%	-0.4pp	22.5%	22.7%	-0.2pp	24.0%	24.2%	-0.2pp
Net profit	13,607	13,541	0.5%	22,419	21,649	3.6%	29,873	28,714	4.0%
Net profit margin	13.8%	14.0%	-0.1pp	17.0%	17.1%	-0.1pp	18.1%	18.2%	-0.1pp
Fully diluted EPS (TWD)	69.47	68.67	1.2%	114.45	109.79	4.2%	152.51	145.62	4.7%

Source: Daiwa forecasts

Bizlink: 2Q26 results review

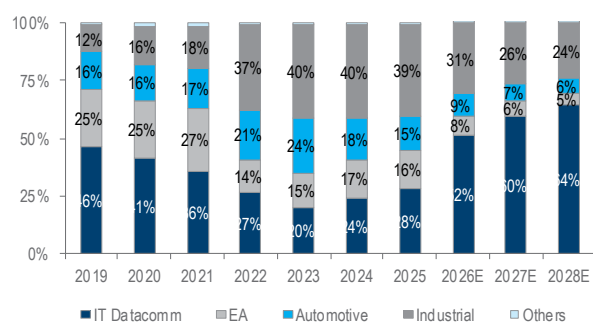
(TWDm)	Bizlink's 2Q26 results	Daiwa's forecast	Differ	Bloomberg consensus	Differ
Revenue	23,281	22,989	1.3%	22,978	1.3%
Gross profit	7,154	6,946	3.0%	7,056	1.4%
Operating profit	4,010	3,912	2.5%	3,967	1.1%
Profit before tax	3,897	3,791	2.8%	3,905	-0.2%
Net profit	2,982	2,844	4.8%	2,897	2.9%
Basic EPS (TWD)	15.28	14.59	4.8%	15.07	1.4%
Margin					
Gross margin	30.7%	30.2%	0.5pp	30.7%	0pp
Operating margin	17.2%	17.0%	0.2pp	17.3%	0pp
Pre-tax margin	16.7%	16.5%	0.2pp	17.0%	-0.3pp
Net margin	12.8%	12.4%	0.4pp	12.6%	0.2pp

Source: Company, Bloomberg, Daiwa forecasts

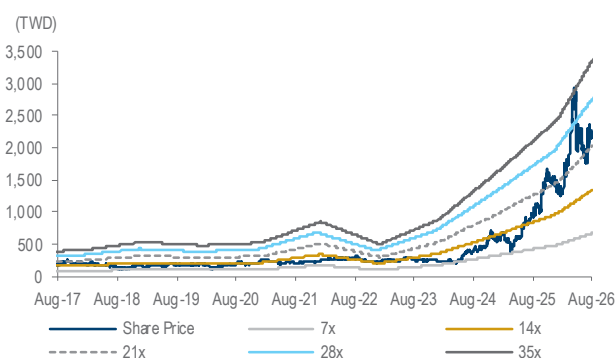
Bizlink: quarterly P&L

(TWDm)	2026E				2027E				2026E	2027E	2028E
	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E			
Revenue	20,864	23,281	25,686	28,467	27,371	30,454	34,733	39,094	98,299	131,652	165,098
Gross profit	6,002	7,154	8,112	9,432	8,853	9,915	11,725	13,357	30,700	43,850	56,286
Operating profit	3,108	4,010	4,927	6,158	5,514	6,413	8,147	9,526	18,203	29,600	39,588
Pre-tax profit	3,043	3,897	4,886	6,167	5,503	6,402	8,137	9,456	17,994	29,499	39,307
Net profit	2,274	2,982	3,664	4,687	4,183	4,866	6,184	7,186	13,607	22,419	29,873
Basic EPS (TWD)	11.66	15.28	18.78	24.02	21.43	24.94	31.69	36.83	69.74	114.89	153.09
Margin											
Gross margin	28.8%	30.7%	31.6%	33.1%	32.3%	32.6%	33.8%	34.2%	31.2%	33.3%	34.1%
Operating margin	14.9%	17.2%	19.2%	21.6%	20.1%	21.1%	23.5%	24.4%	18.5%	22.5%	24.0%
Pre-tax margin	14.6%	16.7%	19.0%	21.7%	20.1%	21.0%	23.4%	24.2%	18.3%	22.4%	23.8%
Net margin	10.9%	12.8%	14.3%	16.5%	15.3%	16.0%	17.8%	18.4%	13.8%	17.0%	18.1%
YoY											
Revenue	29.4%	37.5%	39.5%	43.9%	31.2%	30.8%	35.2%	37.3%	38.0%	33.9%	25.4%
Gross profit	22.6%	35.8%	32.5%	49.3%	47.5%	38.6%	44.5%	41.6%	35.8%	42.8%	28.4%
Operating profit	31.7%	39.9%	37.0%	69.5%	77.4%	59.9%	65.4%	54.7%	46.1%	62.6%	33.7%
Pre-tax profit	34.1%	43.0%	40.9%	81.2%	80.8%	64.3%	66.5%	53.3%	51.6%	63.9%	33.2%
Net profit	41.0%	47.3%	39.4%	71.1%	83.9%	63.2%	68.8%	53.3%	51.1%	64.8%	33.2%
QoQ											
Revenue	5.5%	11.6%	10.3%	10.8%	-3.9%	11.3%	14.0%	12.6%			
Gross profit	-5.0%	19.2%	13.4%	16.3%	-6.1%	12.0%	18.3%	13.9%			
Operating profit	-14.4%	29.0%	22.9%	25.0%	-10.5%	16.3%	27.1%	16.9%			
Pre-tax profit	-10.6%	28.1%	25.4%	26.2%	-10.8%	16.3%	27.1%	16.2%			
Net profit	-17.0%	31.1%	22.9%	27.9%	-10.8%	16.3%	27.1%	16.2%			

Source: Company, Daiwa forecasts

Bizlink: product mix


Source: Company, Daiwa forecasts

Bizlink: 1-year forward PER


Source: Bloomberg, Daiwa forecast

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Industrial revenue YoY (%)	38.5	295.1	3.1	7.4	12.5	21.9	15.0	15.0
Automotive revenue YoY (%)	38.8	134.0	7.2	(23.3)	(16.1)	14.9	5.0	5.0
IT DataComm revenue YoY (%)	9.6	40.7	(28.2)	26.4	131.0	68.0	55.0	35.0

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
IT DataComm	10,228	14,395	10,337	13,072	30,201	50,748	78,659	106,189
Industrial	5,010	19,793	20,400	21,902	24,651	30,037	34,543	39,724
Other Revenue	13,327	19,569	20,314	19,107	16,395	17,514	18,450	19,185
Total Revenue	28,564	53,757	51,052	54,080	71,247	98,299	131,652	165,098
Other income	0	0	0	0	0	0	0	0
COGS	(21,935)	(39,970)	(38,465)	(38,828)	(48,643)	(67,599)	(87,802)	(108,812)
SG&A	(3,109)	(6,857)	(6,815)	(7,177)	(8,329)	(10,308)	(11,687)	(13,396)
Other op.expenses	(863)	(1,384)	(1,534)	(1,510)	(1,818)	(2,189)	(2,564)	(3,302)
Operating profit	2,658	5,546	4,237	6,566	12,458	18,203	29,600	39,588
Net-interest inc./(exp.)	(65)	(450)	(817)	(389)	(280)	(163)	(281)	(281)
Assoc/forex/extraord./others	48	196	22	141	(312)	(46)	180	0
Pre-tax profit	2,641	5,293	3,442	6,318	11,866	17,994	29,499	39,307
Tax	(619)	(1,462)	(1,132)	(1,928)	(2,861)	(4,388)	(7,080)	(9,434)
Min. int./pref. div./others	14	7	7	6	0	1	0	0
Net profit (reported)	2,036	3,838	2,317	4,396	9,005	13,607	22,419	29,873
Net profit (adjusted)	2,036	3,838	2,317	4,396	9,005	13,607	22,419	29,873
EPS (reported)(TWD)	15.223	25.021	14.366	25.407	46.572	69.739	114.890	153.091
EPS (adjusted)(TWD)	15.223	25.021	14.366	25.407	46.572	69.739	114.890	153.091
EPS (adjusted fully-diluted)(TWD)	14.113	22.827	13.776	23.799	46.334	69.466	114.451	152.506
DPS (TWD)	9.130	10.000	9.000	12.000	15.000	34.870	57.445	76.545
EBIT	2,658	5,546	4,237	6,566	12,458	18,203	29,600	39,588
EBITDA	3,595	7,435	6,291	8,777	15,012	20,393	32,015	42,228

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	2,641	5,293	3,442	6,318	11,866	17,994	29,499	39,307
Depreciation and amortisation	936	1,888	2,054	2,211	2,554	2,190	2,415	2,640
Tax paid	(619)	(1,462)	(1,132)	(1,928)	(2,861)	(4,388)	(7,080)	(9,434)
Change in working capital	(2,655)	(2,975)	3,222	373	(3,029)	(12,624)	(2,296)	(15,245)
Other operational CF items	13	36	(141)	(65)	65	174	281	281
Cash flow from operations	315	2,779	7,446	6,909	8,595	3,346	22,819	17,549
Capex	(1,358)	(1,520)	(2,942)	(3,265)	(3,517)	(3,600)	(3,600)	(3,600)
Net (acquisitions)/disposals	(14)	(8,975)	45	(1,987)	(544)	0	0	0
Other investing CF items	(104)	(594)	(1,678)	875	(6,777)	0	0	0
Cash flow from investing	(1,475)	(11,088)	(4,575)	(4,377)	(10,838)	(3,600)	(3,600)	(3,600)
Change in debt	584	(98)	1,893	1,130	(1,781)	0	0	0
Net share issues/(repurchases)	0	2,880	1,150	0	0	0	0	0
Dividends paid	(1,083)	(1,386)	(1,564)	(1,470)	(2,278)	(2,925)	(6,804)	(11,209)
Other financing CF items	(334)	12,465	(2,421)	(2,603)	9,371	0	0	0
Cash flow from financing	(833)	13,861	(942)	(2,943)	5,312	(2,925)	(6,804)	(11,209)
Forex effect/others	(158)	(264)	201	(41)	0	0	0	0
Change in cash	(2,150)	5,288	2,130	(452)	3,070	(3,179)	12,415	2,740
Free cash flow	(1,042)	1,260	4,504	3,644	5,079	(254)	19,219	13,949

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	3,210	8,498	10,627	10,176	14,395	11,216	23,632	26,372
Inventory	6,379	12,323	10,103	11,232	13,824	22,157	23,824	33,627
Accounts receivable	7,480	10,644	8,823	10,767	14,770	20,651	26,664	32,749
Other current assets	675	1,129	2,338	1,493	8,422	8,422	8,422	8,422
Total current assets	17,743	32,594	31,891	33,668	51,412	62,446	82,541	101,170
Fixed assets	3,864	10,301	12,143	14,677	17,324	19,237	20,925	22,389
Goodwill & intangibles	1,519	6,802	6,703	8,369	9,019	9,019	9,019	9,019
Other non-current assets	2,350	3,749	3,947	4,201	4,558	4,558	4,558	4,558
Total assets	25,477	53,446	54,683	60,915	82,313	95,261	117,044	137,136
Short-term debt	2,190	3,226	4,532	5,014	4,814	4,814	4,814	4,814
Accounts payable	6,771	9,549	8,511	10,994	14,681	16,270	21,654	22,298
Other current liabilities	198	997	674	787	1,135	1,135	1,135	1,135
Total current liabilities	9,159	13,772	13,717	16,795	20,630	22,219	27,602	28,246
Long-term debt	315	14,011	13,322	4,703	11,678	11,678	11,678	11,678
Other non-current liabilities	853	3,158	3,046	3,200	3,362	3,362	3,362	3,362
Total liabilities	10,327	30,942	30,086	24,698	35,670	37,259	42,643	43,287
Share capital	1,375	1,564	1,633	1,896	1,954	1,951	1,951	1,951
Reserves/R.E./others	13,750	20,921	22,952	34,313	44,680	56,043	72,443	91,891
Shareholders' equity	15,125	22,485	24,585	36,209	46,634	57,994	74,394	93,843
Minority interests	26	19	12	8	8	7	7	7
Total equity & liabilities	25,477	53,446	54,683	60,915	82,313	95,261	117,044	137,136
EV	443,209	452,647	451,128	443,438	445,993	449,170	436,755	434,015
Net debt/(cash)	(705)	8,740	7,227	(458)	2,097	5,275	(7,140)	(9,880)
BVPS (TWD)	110.031	143.724	150.543	191.021	239.188	297.230	381.246	480.913

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	26.7	88.2	(5.0)	5.9	31.7	38.0	33.9	25.4
EBITDA (YoY)	9.4	106.8	(15.4)	39.5	71.0	35.8	57.0	31.9
Operating profit (YoY)	8.7	108.6	(23.6)	55.0	89.7	46.1	62.6	33.7
Net profit (YoY)	11.4	88.5	(39.6)	89.7	104.8	51.1	64.8	33.2
Core EPS (fully-diluted) (YoY)	10.3	61.7	(39.6)	72.8	94.7	49.9	64.8	33.2
Gross-profit margin	23.2	25.6	24.7	28.2	31.7	31.2	33.3	34.1
EBITDA margin	12.6	13.8	12.3	16.2	21.1	20.7	24.3	25.6
Operating-profit margin	9.3	10.3	8.3	12.1	17.5	18.5	22.5	24.0
Net profit margin	7.1	7.1	4.5	8.1	12.6	13.8	17.0	18.1
ROAE	14.4	20.4	9.8	14.5	21.7	26.0	33.9	35.5
ROAA	8.4	9.7	4.3	7.6	12.6	15.3	21.1	23.5
ROCE	15.5	19.3	10.3	14.9	22.8	26.5	35.8	39.3
ROIC	15.8	17.6	9.0	13.5	22.4	24.6	34.5	39.8
Net debt to equity	n.a.	38.9	29.4	n.a.	4.5	9.1	n.a.	n.a.
Effective tax rate	23.5	27.6	32.9	30.5	24.1	24.4	24.0	24.0
Accounts receivable (days)	81.9	61.5	69.6	66.1	65.4	65.8	65.6	65.7
Current ratio (x)	1.9	2.4	2.3	2.0	2.5	2.8	3.0	3.6
Net interest cover (x)	40.7	12.3	5.2	16.9	44.5	111.4	105.2	140.8
Net dividend payout	68.1	40.8	63.4	51.8	32.2	50.0	50.0	50.0
Free cash flow yield	n.a.	0.3	1.0	0.8	1.1	n.a.	4.3	3.1

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1996 and listed on Taiwan's main board in 2011, Bizlink Holding (Bizlink) is a vertically-integrated provider for interconnect solutions for IT & CE (28% of 2025 revenue), electrical appliances (16%), automotive (15%) and industrial (39%). Major clients include Dell, HP, Tesla, Polaris, Thermo King, Dyson and GE Healthcare.

ESG analysis

ESG risks

Risks	Management	Analyst comments	
G	Executive/board quality	2	The CEO and chairperson of Bizlink are not the same individual. Bizlink has 7 directors, including 3 independent directors, on its board. With backgrounds in engineering (directors) and materials science/law (independent directors), we view this as positive as we believe that their wide-ranging experience will help lead Bizlink under the competitive environment.
	Capital management	2	Bizlink's payout ratio has gradually declined over the past decade, from 79% in 2016 to 33% in 2025. Considering the company's mergers over this period, we view the drop in payout ratio as reasonable.
	Related party & transaction	2	No revenue and COGS are generated from related-party transactions – we see no issues.
S	Supply chain management	1	To improve its product quality, Bizlink has high-standard/eco-friendly production processes, and places high importance on client feedback. The company received an overall positive rating of 93% in its 2023 customer survey. Bizlink has a 100% local sourcing policy (achieved 75% in 2023) – this is to ensure a high standard of services from suppliers and to help reduce its carbon footprint. Furthermore, Bizlink has more than 500 suppliers globally; only 25% of its procurement is from the company's top-10 suppliers. Though we believe Bizlink is relatively safe from material sourcing risks in the long term, the company has still been impacted by the recent plastic and copper price hikes.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 31 Mar 2026

Source: Daiwa, Company

Important Disclosures and Disclaimer

This publication is produced by Daiwa Securities Group Inc. and/or its non-U.S. affiliates, and distributed by Daiwa Securities Group Inc. and/or its non-U.S. affiliates, except to the extent expressly provided herein. This publication and the contents hereof are intended for information purposes only, and may be subject to change without further notice. Any use, disclosure, distribution, dissemination, copying, printing or reliance on this publication for any other purpose without our prior consent or approval is strictly prohibited. Neither Daiwa Securities Group Inc. nor any of its respective parent, holding, subsidiaries or affiliates, nor any of its respective directors, officers, servants and employees, represent nor warrant the accuracy or completeness of the information contained herein or as to the existence of other facts which might be significant, and will not accept any responsibility or liability whatsoever for any use of or reliance upon this publication or any of the contents hereof. Neither this publication, nor any content hereof, constitute, or are to be construed as, an offer or solicitation of an offer to buy or sell any of the securities or investments mentioned herein in any country or jurisdiction nor, unless expressly provided, any recommendation or investment opinion or advice. Any view, recommendation, opinion or advice expressed in this publication may not necessarily reflect those of Daiwa Securities Group Inc., and/or its affiliates nor any of its respective directors, officers, servants and employees except where the publication states otherwise. This research report is not to be relied upon by any person in making any investment decision or otherwise advising with respect to, or dealing in, the securities mentioned, as it does not take into account the specific investment objectives, financial situation and particular needs of any person.

Daiwa Securities Group Inc., its subsidiaries or affiliates, or its or their respective directors, officers and employees from time to time have trades as principals, or have positions in, or have other interests in the securities of the company under research including market making activities, derivatives in respect of such securities or may have also performed investment banking and other services for the issuer of such securities. Daiwa Securities Group Inc., its subsidiaries or affiliates do and seek to do business with the company(s) covered in this research report. Therefore, investors should be aware that a conflict of interest may exist. The following are additional disclosures.

Licensed and proprietary artificial intelligence (AI) tools may be utilized, where appropriate, as part of the research production process. Such tools may assist with activities including information gathering, data compilation and drafting support. Any AI-assisted output is subject to appropriate review and professional judgment. Research reports are prepared and published in accordance with applicable laws, regulations, and professional standards.

Ownership of Securities

For "Ownership of Securities" information, please visit BlueMatrix disclosure link at <https://daiwa3.bluematrix.com/sellside/Disclosures.action>.

Investment Banking Relationship

For "Investment Banking Relationship", please visit BlueMatrix disclosure link at <https://daiwa3.bluematrix.com/sellside/Disclosures.action>.

Daiwa Securities Co. Ltd. and Daiwa Securities Group Inc.

Daiwa Securities Co. Ltd. is a subsidiary of Daiwa Securities Group Inc.

Investment Banking Relationship

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has lead-managed public offerings and/or secondary offerings of the equities or relevant securities of the following companies: WeRide Inc (800 HK/ WRD US), SEYOND (2665 HK) and SENASIC Electronics Technology Co Ltd (6675 HK).

*Subsidiaries of Daiwa Securities Group Inc. for the purposes of this section shall mean any one or more of: Daiwa Capital Markets Hong Kong Limited (大和資本市場香港有限公司), Daiwa Capital Markets Singapore Limited, Daiwa Capital Markets Australia Limited, Daiwa-Cathay Capital Markets Co., Ltd., Daiwa Securities Capital Markets Korea Co., Ltd.

Within the last 12 months, the subsidiaries and/or affiliates of Daiwa Securities Group Inc. * has received compensation for investment banking services from NH Investment & Securities Co Ltd (005940 KS), E-Mart Inc (139480 KS), Samsung Securities Co Ltd (016360 KS), KT Corporation (030200 KS) and Hyundai Department Store Co Ltd (069960 KS).

Hong Kong

This research is distributed in Hong Kong by Daiwa Capital Markets Hong Kong Limited (大和資本市場香港有限公司) ("DHK") which is regulated by the Hong Kong Securities and Futures Commission. Recipients of this research in Hong Kong may contact DHK in respect of any matter arising from or in connection with this research.

Investment Banking Relationship

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has lead-managed public offerings and/or secondary offerings of the equities or relevant securities of the following companies: WeRide Inc (800 HK/ WRD US), SEYOND (2665 HK) and SENASIC Electronics Technology Co Ltd (6675 HK).

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has received compensation for investment banking services from -.

Relevant Relationship (DHK)

DHK may from time to time have an individual employed by or associated with it serves as an officer of any of the companies under its research coverage.

Singapore

This research is distributed in Singapore by Daiwa Capital Markets Singapore Limited and it may only be distributed in Singapore to accredited investors, expert investors and institutional investors as defined in the Financial Advisers Regulations of Singapore and the Securities and Futures Act 2001 of Singapore, both as amended from time to time. By virtue of distribution to these category of investors, Daiwa Capital Markets Singapore Limited and its representatives are not required to comply with Section 45 of the Financial Advisers Act 2001 of Singapore (Section 45 relates to disclosure of Daiwa Capital Markets Singapore Limited's interest and/or any associated or connected person's interest in securities). Recipients of this research in Singapore may contact Daiwa Capital Markets Singapore Limited in respect of any matter arising from or in connection with this research.

Australia

This research is distributed in Australia by Daiwa Capital Markets Australia Limited and it may only be distributed in Australia to wholesale investors within the meaning of the Corporations Act. Recipients of this research in Australia may contact Daiwa Capital Markets Stockbroking Limited in respect of any matter arising from or in connection with the research.

Taiwan

This research is solely for reference and not intended to provide tailored investment recommendations. This research is distributed in Taiwan by Daiwa-Cathay Capital Markets Co., Ltd. and it may only be distributed in Taiwan to specific customers who have signed recommendation contracts with Daiwa-Cathay Capital Markets Co., Ltd. and non-customers including (i) professional institutional investors, (ii) TWSE or TPEX listed companies, upstream and downstream vendors, and specialists that offer or seek advice, and (iii) potential customers with an actual need for business development in accordance with the Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers. Recipients of this research including non-customer recipients of this research shall not provide it to others or engage in any activities in connection with this research which may involve conflicts of interests. Neither Daiwa-Cathay Capital Markets Co., Ltd. nor its personnel who writes or reviews the research report has any conflict of interest in this research. Since Daiwa-Cathay Capital Markets Co., Ltd. does not operate brokerage trading business in foreign markets, **this research is prepared on a "without recommendation" to any foreign securities basis** and Daiwa-Cathay Capital Markets Co., Ltd. does not accept orders from customers to trade in such foreign securities. Recipients of this research shall carefully judge their own investment risk and take full responsibility for the results of any resulting investments in the companies and/or sectors featured in this research. Without the prior written permission of Daiwa-Cathay Capital Markets Co., Ltd., recipients of this research are prohibited from disclosing the research to the media, reprinting the research, or quoting from the research to other parties. Recipients of this research in Taiwan may contact Daiwa-Cathay Capital Markets Co., Ltd. in respect of any matter arising from or in connection with the research.

Thailand

This research is distributed to only institutional investors in Thailand. This report is provided to you for informational purposes only. Information contained herein is not intended to be, and shall not be construed as, an offer or an invitation for subscription or purchase of securities in Thailand. This document has not been and will not be registered with, or approved by, the Office of the Securities and Exchange Commission of Thailand. As neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities' respective directors, officers, servants and employees are licensed to carry on any securities business in Thailand, this document is intended to be read by the addressee who is an institutional investor only and may not be circulated or distributed, whether directly or indirectly, to the public or any members of the public in Thailand, unless to the extent permitted by applicable laws and regulations.

This report is prepared by analysts who are employed by Daiwa Securities Group Inc. and/or its non-U.S. affiliates. Neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities' respective directors, officers, servants and employees accept any liability whatsoever for any direct or consequential loss arising from any use of this research or its contents.

The information and opinions contained herein have been compiled or arrived at from sources believed to be reliable. However, neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities' respective directors, officers, servants and employees make any representation or warranty, express or implied, as to their accuracy or completeness. Expressions of opinion herein are subject to change without notice. The use of any information, forecasts and opinions contained in this report shall be at the sole discretion and risk of the user.

Daiwa Securities Group Inc., its subsidiaries and affiliates and their respective directors, officers, servants and employees may have positions and financial interest in securities mentioned in this research. Daiwa Securities Group Inc. and its subsidiaries and affiliates may from time to time perform investment banking or other services for, or solicit investment banking or other business from, any entity mentioned in this research. Therefore, investors should be aware of conflict of interest that may affect the objectivity of this research.

United Kingdom

These materials constitute independent research for the purposes of the Financial Conduct Authority ("FCA") Conduct of Business Rules. These materials have been produced by Daiwa Securities Co. Ltd ("DSCL") and/or its affiliates and are distributed by Daiwa Capital Markets Europe Limited ("DCME") to persons classified as (i) eligible counterparties; and (ii) professional clients for the purposes of the Conduct of Business Rules of the FCA. These materials should not be disseminated to any retail clients in the United Kingdom. DCME is authorised and regulated by the FCA and is a member of the London Stock Exchange. DCME's FCA registration number is 124490 and the FCA's registered address is 25 The North Colonnade, London, E14 5HS.

DCME makes no representation as to the completeness, accuracy or timeliness of any of the materials produced by DSCL, and does not accept any liability for any losses, costs, liabilities or expenses which may arise directly or indirectly from any use of, or reliance on the materials.

DCME and/or its affiliates may, from time to time, to the extent permitted by law, participate or invest in, or be mandated in respect of transactions with the issuer(s) referred to in the materials prepared by DSCL, perform services for or solicit business from such issuers, and/or have a position or effect transactions in a particular issuer's securities and/or may have acted as an underwriter during the past twelve months in respect of a particular issuer of its securities. DCME does not review DSCL's materials prior to publication on DCME's platforms and has no influence over its

content. DCME has in place organisational arrangements for the prevention and avoidance of conflicts of interest, including information barriers to control the flow of information between the private and public sides of the firm. A summary of DCME's conflict management policies are available at <http://www.uk.daiwacm.com/about-us/corporate-governance-regulatory>. DSCL's materials are distributed by DCME only as permitted by law. The materials are not directed to, or intended for distribution to or use by, any person or entity located in any jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject DCME to any regulation or licensing requirement within such jurisdiction.

Germany

Research reports are produced by Daiwa Securities Co. Ltd. and/or its affiliates and are distributed by Daiwa Capital Markets Deutschland GmbH in the European Union. Daiwa Capital Markets Deutschland GmbH is authorised and regulated by Bundesanstalt für Finanzdienstleistungsaufsicht ("BaFin") under the reference number 149361. Daiwa Capital Markets Deutschland GmbH and its affiliates may, from time to time, to the extent permitted by law, participate or invest in, or be mandated in respect of, other financing transactions with the issuer(s) of the securities referred to herein (the "Securities"), perform services for or solicit business from such issuers, and/or have a position or effect transactions in the Securities or options thereof.

This publication is intended for investors who are Professional Clients or Eligible Counterparties in the European Union within the meaning of Directive 2014/65/EU ("MiFID II") and should therefore not be distributed to Retail Clients in the European Union.

Daiwa Capital Markets Deutschland GmbH has in place organisational arrangements for the identification, prevention and management of conflicts of interest. Information regarding our conflict management are available at: <https://www.de.daiwacm.com/policies/>

Additional disclosures regarding specific company names and related financial instruments are available at: <https://daiwa3.bluematrix.com/sellside/Disclosures.action>.

Bahrain

This research material is distributed in Bahrain by Daiwa Capital Markets Europe Limited, Bahrain Branch, regulated by The Central Bank of Bahrain and holds Investment Business Firm – Category 2 license and having its official place of business at the Bahrain World Trade Centre, South Tower, 7th floor, P.O. Box 30069, Manama, Kingdom of Bahrain. Tel No. +973 17534452 Fax No. +973 535113

United States

This research is distributed into the United States directly by Daiwa Capital Markets Hong Kong Limited (DCMHK) and in certain cases indirectly by Daiwa Capital Markets America Inc. (DCMA), a U.S. Securities and Exchange Commission registered broker-dealer and FINRA member firm, exclusively to "major U.S. institutional investors", as defined under Rule 15a-6 promulgated under the U.S. Securities Exchange Act of 1934, as amended, and as interpreted by the staff of the U.S. Securities and Exchange Commission (SEC). Where this is co-branded research published by Daiwa's partners in collaboration with other parties not affiliated with Daiwa, this research is distributed in the United States by DCMHK only. This report is not an offer to sell or the solicitation of any offer to buy securities. U.S. customers wishing to effect transactions in any designated investment discussed in this report should do so through a qualified salesperson of DCMA. Non-U.S. customers wishing to effect transactions in any designated investment discussed in this report should contact a Daiwa entity in their local jurisdiction. The securities or other investment products discussed in this report may not be eligible for sale in some jurisdictions.

Analysts employed outside the U.S., as specifically indicated elsewhere in this report, are not registered as research analysts with FINRA. These analysts may not be associated persons of DCMA, and therefore may not be subject to FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

ADDITIONAL IMPORTANT DISCLOSURES CAN BE FOUND AT:

<https://daiwa3.bluematrix.com/sellside/Disclosures.action>

Ownership of Securities

For "Ownership of Securities" information please visit BlueMatrix disclosure link at <https://daiwa3.bluematrix.com/sellside/Disclosures.action>.

Investment Banking Relationships

For "Investment Banking Relationships" please visit BlueMatrix disclosure link at <https://daiwa3.bluematrix.com/sellside/Disclosures.action>.

DCMA Market Making

For "DCMA Market Making" please visit BlueMatrix disclosure link at <https://daiwa3.bluematrix.com/sellside/Disclosures.action>.

Research Analyst Conflicts

For updates on "Research Analyst Conflicts" please visit BlueMatrix disclosure link at <https://daiwa3.bluematrix.com/sellside/Disclosures.action>. The principal research analysts who prepared this report have no financial interest in securities of the issuers covered in the report, are not (nor are any members of their household) an officer, director or advisory board member of the issuer(s) covered in the report, and are not aware of any material relevant conflict of interest involving the analyst or DCMA, and did not receive any compensation from the issuer during the past 12 months except as noted: no exceptions.

Research Analyst Certification

For updates on "Research Analyst Certification" and "Rating System" please visit BlueMatrix disclosure link at <https://daiwa3.bluematrix.com/sellside/Disclosures.action>. The views about any and all of the subject securities and issuers expressed in this Research Report accurately reflect the personal views of the research analyst(s) primarily responsible for this report (or the views of the firm producing the report if no individual analyst is named on the report); and no part of the compensation of such analyst (or no part of the compensation of the firm if no individual analyst is named on the report) was, is, or will be directly or indirectly related to the specific recommendations or views contained in this Research Report.

The following explains the rating system in the report as compared to relevant local indices, unless otherwise stated, based on the beliefs of the author of the report.

- "1": the security could outperform the local index by more than 15% over the next 12 months.
- "2": the security is expected to outperform the local index by 5-15% over the next 12 months.
- "3": the security is expected to perform within 5% of the local index (better or worse) over the next 12 months.
- "4": the security is expected to underperform the local index by 5-15% over the next 12 months.
- "5": the security could underperform the local index by more than 15% over the next 12 months.

Disclosure of investment ratings

Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

* comprised of Daiwa's Buy and Outperform ratings.

** comprised of Daiwa's Hold ratings.

*** comprised of Daiwa's Underperform and Sell ratings.

Additional information may be available upon request.

Japan - Notification items pursuant to Article 37 of the Financial Instruments and Exchange Law

(This Notification is only applicable to where report is distributed by Daiwa Securities Co. Ltd.)

If you decide to enter into a business arrangement with our company based on the information described in this report, we ask you to pay close attention to the following items.

- In addition to the purchase price of a financial instrument, our company will collect a trading commission* for each transaction as agreed beforehand with you. Since commissions may be included in the purchase price or may not be charged for certain transactions, we recommend that you confirm the commission for each transaction. In some cases, our company also may charge a maximum of ¥2 million per year as a standing proxy fee for our deposit of your securities, if you are a non-resident.
 - For derivative and margin transactions etc., our company may require collateral or margin requirements in accordance with an agreement made beforehand with you. Ordinarily in such cases, the amount of the transaction will be in excess of the required collateral or margin requirements**.
 - There is a risk that you will incur losses on your transactions due to changes in the market price of financial instruments based on fluctuations in interest rates, exchange rates, stock prices, real estate prices, commodity prices, and others. In addition, depending on the content of the transaction, the loss could exceed the amount of the collateral or margin requirements.
 - There may be a difference between bid price etc. and ask price etc. of OTC derivatives handled by our company.
 - Before engaging in any trading, please thoroughly confirm accounting and tax treatments regarding your trading in financial instruments with such experts as certified public accountants.
- * The amount of the trading commission cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.
- ** The ratio of margin requirements etc. to the amount of the transaction cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

When making an actual transaction, please be sure to carefully read the materials presented to you prior to the execution of agreement, and to take responsibility for your own decisions regarding the signing of the agreement with our company.

Corporate Name:	Daiwa Securities Co. Ltd.
Registered:	Financial Instruments Business Operator, Chief of Kanto Local Finance Bureau (Kin-sho) No.108
Memberships:	Japan Securities Dealers Association, The Financial Futures Association of Japan, Investment Management Association of Japan, Type II Financial Instruments Firms Association, Japan Security Token Offering Association